

H1-2026 State of the Economy



Turning Potential into Progress

Accelerating Nigeria's
Industrialisation for
Economic Transformation
& Inclusion



AUGUST 2026

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Executive Summary

The global economy sustained growth in H1-2026, although momentum weakened, as reflected in subdued private sector activity, particularly during Q2-2026. This moderation was largely associated with the fallout from the Middle East crisis, which heightened geopolitical uncertainty and triggered a rise in global energy prices. The resulting reversal of the disinflationary trend prompted major central banks to adopt a more cautious monetary policy stance. Despite these headwinds, global equity markets recorded a broad-based rally, driven largely by strong performances in emerging markets, with Nigeria recording the strongest performance in H1-2026.

On the domestic front, Nigeria's economy sustained its growth momentum in H1-2026, supported largely by stronger performance in the non-oil sector and improved private sector activity. The NESG Current Business Performance Index and the Stanbic IBTC Composite Purchasing Managers' Index remained in the expansion territory, signalling improved business conditions. However, the disinflation gains reversed as price pressures intensified, driven by higher fuel costs, rising food prices, and elevated transportation costs. On the fiscal front, although revenue generation improved, government spending remained relatively high, resulting in a persistent budget deficit, continued reliance on borrowing, and a rising debt-service burden. Meanwhile, the CBN reduced the MPR by 50 basis points in Q1-2026 but subsequently retained the policy rate amid renewed inflationary pressures. The external sector strengthened, marked by a stronger naira, improved foreign exchange (FX) liquidity, and continued reserve accumulation.

Moreover, persistent global supply chain disruptions have reinforced the urgency for Nigeria to reduce its dependence on hydrocarbon revenues by strengthening its non-oil export base. Without a more diversified and competitive industrial sector, Nigeria will remain heavily reliant on imported intermediate inputs and finished manufactured goods, leaving it vulnerable to external shocks. Rapid industrialisation is therefore no longer merely a policy aspiration—it is an economic imperative for strengthening Nigeria's competitiveness within the global production landscape. The barriers to the country's successful industrialisation are substantial, but not insurmountable.

This report developed a conceptual framework linking industrialisation to social inclusion through three reinforcing channels: inputs, outputs, and outcomes. A comparative assessment of Nigeria against China, South Korea, and Vietnam reveals substantial gaps across all three pillars. The experiences of these countries reinforce the framework. Successful industrialisation begins with strong inputs—including sound institutions, infrastructure, skills, technology, finance, and macroeconomic stability—which generate higher industrialisation outputs through increased productivity, value addition, and exports. These gains ultimately translate into inclusive outcomes, including decent employment, higher incomes, and poverty reduction. For the Nigeria Industrial Policy (NIP) 2025 to deliver substantial industrial and social progress, it must address the weaknesses that undermined previous industrial and sector-specific strategies, including weak institutional coordination, poor execution, policy discontinuity and inadequate monitoring.

Looking ahead, the global economy is expected to remain resilient despite ongoing geopolitical tensions. Elevated global oil prices and improved domestic crude oil output could strengthen government revenues and FX liquidity. Domestically, economic growth is projected to accelerate to 4.5 percent in H2-2026, lifting full-year GDP growth to about 4.2 percent, driven by stronger performance in oil, manufacturing, agriculture, and services, although structural constraints could temper the pace of expansion. Inflation is expected to remain elevated, averaging 15.5 percent in both H2-2026 and the full year, largely attributed to widespread insecurity, climate disruptions, election-related spending, high energy costs, and seasonal festive demand. The external sector is expected to remain resilient, with continued stability in the exchange rate and an accretion in the external reserves, which are projected to rise to about US\$53 billion by the end of the year, driven primarily by higher oil production, favourable prices, stronger non-oil exports, and sustained current account surpluses.



Introduction

The global economy remained resilient in the first half of 2026 despite heightened geopolitical tensions and growing policy uncertainty. Global output expanded by 3.0 percent in the first quarter, marginally down from 3.1 percent in the corresponding period of 2025, reflecting the resilience of economic activity despite the escalation of the Middle East conflict and renewed trade-related uncertainties.

Nevertheless, growth momentum softened across both advanced and emerging economies as heightened uncertainty weakened business confidence, slowed manufacturing activity, and dampened investment. At the same time, inflationary pressures re-emerged across major economies, driven by higher global energy prices linked to geopolitical tensions in the Gulf region, prompting several central banks to maintain a tight monetary policy.

Despite this challenging global environment, Nigeria's real Gross Domestic Product (GDP) growth strengthened to 3.9 percent in the first quarter of 2026, driven primarily by the resilient non-oil sector. Sustained expansion in private sector activity also signalled that growth momentum remained positive throughout the first half of the year. The external sector strengthened considerably, supported by stronger export earnings, improved foreign exchange liquidity, rising external reserves, and a more stable exchange rate.

Despite these gains, the economy continued to face significant structural challenges. Inflationary pressures resurfaced following higher global energy prices, while fiscal space remained constrained by persistent budget deficits, rising public debt, and continued debt-related fiscal pressures. In addition, limited access to finance for productive sectors, particularly manufacturing, alongside inadequate infrastructure and weak domestic value addition, continued to constrain Nigeria's long-term growth and industrial transformation.

Developments in the global and domestic economic landscapes during the first half of 2026 reinforce an important policy lesson: while macroeconomic stabilisation is necessary for sustained economic progress, it is not sufficient. This underscores the need to move beyond stabilisation by implementing policies and programmes that translate macroeconomic gains into broad-based economic growth and inclusive development through higher productivity, a strong manufacturing base, decent employment, and rising incomes.

Achieving these outcomes requires a coherent industrial development strategy that places manufacturing at the centre of economic diversification, technological upgrading, export expansion, and productive employment. Such a strategy provides a pathway to translate Nigeria's economic potential into sustained and inclusive structural transformation. Realising this ambition will require sound policy design, disciplined implementation, strong institutional coordination, sustained public and private investment, and a commitment to ensuring that the gains from industrialisation are widely shared.

Part A:

Overview of the Economy in H1-2026



The Global Economy

(A) Global Growth Remained Resilient, but Momentum Softened Amid Geopolitical Headwinds

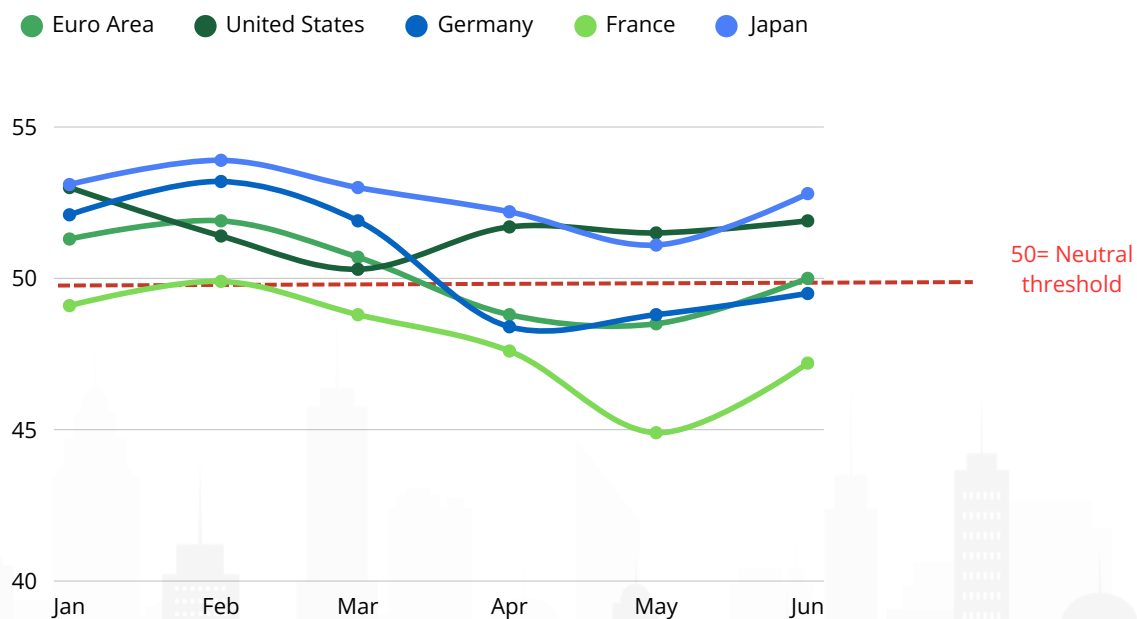
The global economy expanded by 3.0 percent in Q1-2026, down from the growth of 3.1 percent in Q1-2025 and 3.8 percent in Q4-2025 (IMF, 2025; 2026). This moderation reflected slower growth across both advanced and emerging market economies (Table 1), amid heightened geopolitical tensions in the Middle East and renewed trade-related uncertainties. As the crisis extended into Q2-2026, heightened uncertainty weakened private sector activity and dampened business confidence. The J.P. Morgan Global Manufacturing Purchasing Managers' Index (PMI) eased to 52.2 points in June 2026 from a four-year high of 52.7 points in May, indicating that manufacturing expansion persisted but at a slower pace.

Table 1: GDP Growth in Some Selected Countries (year-on-year, percent)

Country	Q1-2025	Q2-2025	Q3-2025	Q4-2025	Q1-2026	Q2-2026
United Kingdom	1.8	1.3	1.2	0.9	0.9	-
Euro Area	1.6	1.4	1.2	1.1	0.5	1.0
United States	2.0	2.1	2.3	2.0	2.7	2.1
Germany	0.4	0.4	0.3	0.3	0.7	0.9
France	0.8	0.8	0.8	1.1	0.8	0.7
China	5.4	5.2	4.8	4.5	5.0	4.3
Japan	1.5	2.0	0.5	0.2	0.6	-

Source: Country Reports

Fig. 1: Composite PMI for Selected Countries in 2026 (Index Point)



Data: S&P Global; Chart: NESG Research

This performance largely mirrored weak PMI readings across major economies. Private sector activity contracted in the United Kingdom and the Euro Area, particularly during Q2-2026, while France remained in contraction throughout H1-2026 (Fig. 1). Although the United States and Japan stayed in the expansion territory, both recorded softer index readings between the first and second quarters of 2026, signalling a loss of growth momentum. Notably, economic growth in the United States, France, and China slowed to 2.1 percent, 0.7 percent, and 4.3 percent, respectively, in Q2-2026 (see Table 1).

(B) Inflationary Pressures Re-emerged Amid Higher Energy Prices

Inflationary pressures resurfaced across major economies in H1-2026, reversing part of the disinflation gains recorded in the previous year. Headline inflation increased across the Euro Area, the United States, Germany, France, and China between H1-2025 and H1-2026 (Table 2). The resurgence in headline inflation coincided with higher energy costs following the escalation of geopolitical tensions in the Gulf region. In contrast, inflation moderated in the United Kingdom, although it remained above the 2 percent medium-term target. In H1-2026, global crude oil prices averaged US\$92.5 per barrel, up from US\$71.7 per barrel in H1-2025, while the global energy price index increased by 25.7 percent over the same period¹.

Table 2: Inflation Rate in Selected Countries (year-on-year, percent)

Country	Headline		Core		Monetary Policy Stance in H1-2026
	H1-2025	H1-2026	H1-2025	H1-2026	
United Kingdom	3.2	2.9	3.6	2.9	Kept rate unchanged at 3.75 percent
Euro Area	2.2	2.5	2.5	2.4	ECB hiked rate from 2.15 to 2.4 percent
United States	2.6	3.3	3.0	2.7	Kept rate unchanged at 3.5-3.75 percent
Germany	2.2	2.4	2.8	2.5	ECB hiked rate from 2.15 to 2.4 percent
France	1.0	1.6	1.3	1.1	ECB hiked rate from 2.15 to 2.4 percent
China	-0.1	1.0	0.5	1.2	Kept rate unchanged at 3 percent
Japan	3.6	1.5	3.3	1.6	Raised rate from 0.75 to 1 percent

Source: Country Reports

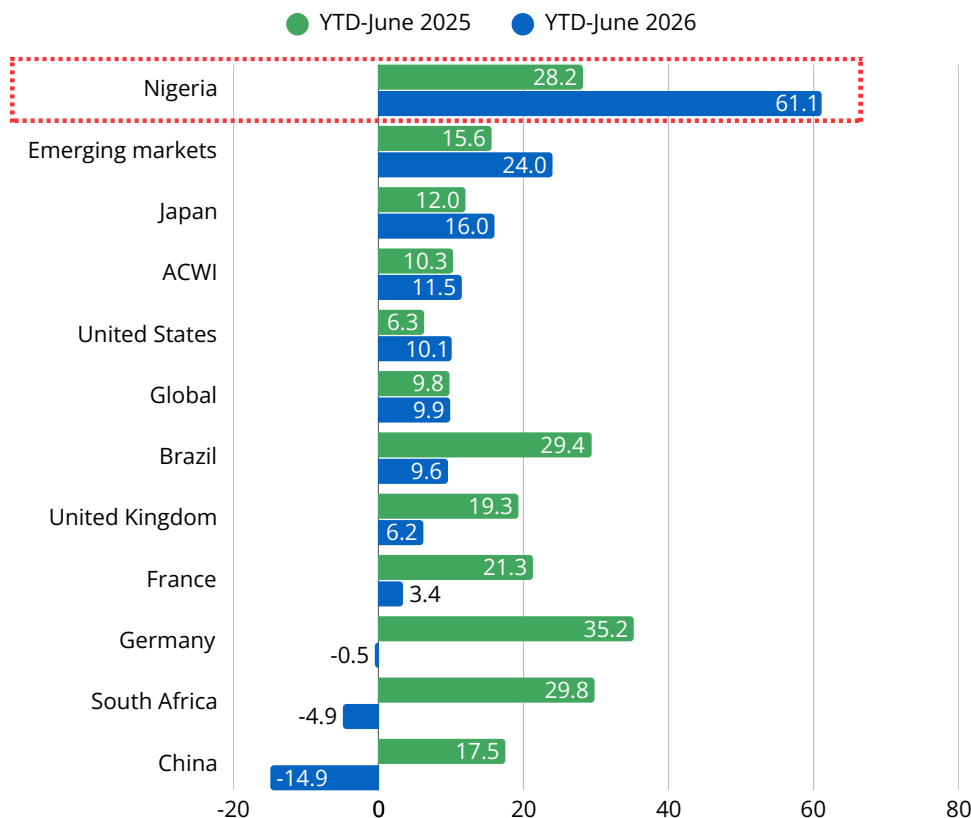
Despite the pickup in headline inflation, core inflation moderated across most major economies, reflecting easing underlying price pressures. The divergence between headline and core inflation suggests that part of the renewed price pressure was concentrated in energy and other volatile components rather than reflecting a broad-based acceleration in underlying inflation. China was the notable exception, where core inflation increased from 0.5 percent in H1-2025 to 1.2 percent in H1-2026, largely reflecting the inflationary effects of persistent currency depreciation. Against this backdrop, major central banks maintained a cautious policy stance, with some raising rates while others kept policy rates unchanged (Table 2).

¹ See the World Bank Commodity Price Sheet at: <https://www.worldbank.org/en/research/commodity-markets>

(C) Global Equity Markets Extended Gains, Led by Emerging Economies

Global equity markets maintained positive momentum in H1-2026, with emerging markets outperforming advanced economies. The MSCI Emerging Markets Index gained 24.0 percent in H1-2026, up from 15.6 percent in H1-2025, surpassing the returns on All Country World Index (ACWI) (11.5 percent) and the global market (9.9 percent) (Fig. 2). Performance in developed economies was largely driven by Japan (16.0 percent) and the United States (10.1 percent), reflecting continued investor appetite for technology stocks amid strong demand for artificial intelligence-related products and advanced electronics.

Fig. 2: MSCI World Index Performance (Gross US\$ Returns, Percent)



Data: MSCI Inc. (2026)²; Chart: NESG Research

Among emerging markets, Nigeria stood out as the top-performing equity market globally, with the MSCI Nigeria Index gaining 61.1 percent in H1-2026, compared with 28.2 percent in H1-2025. The exceptional performance was underpinned by sustained macroeconomic reforms, improved foreign exchange liquidity, and strengthening investor confidence in the country's economic outlook. Reflecting these improvements, S&P Dow Jones Indices has placed Nigeria on its 2027 Country Classification Watchlist for potential reclassification from a Standalone Market to a Frontier Market, a move that could broaden the country's investor base and support foreign capital inflows.

² Retrieved from: <https://www.msci.com/indexes>



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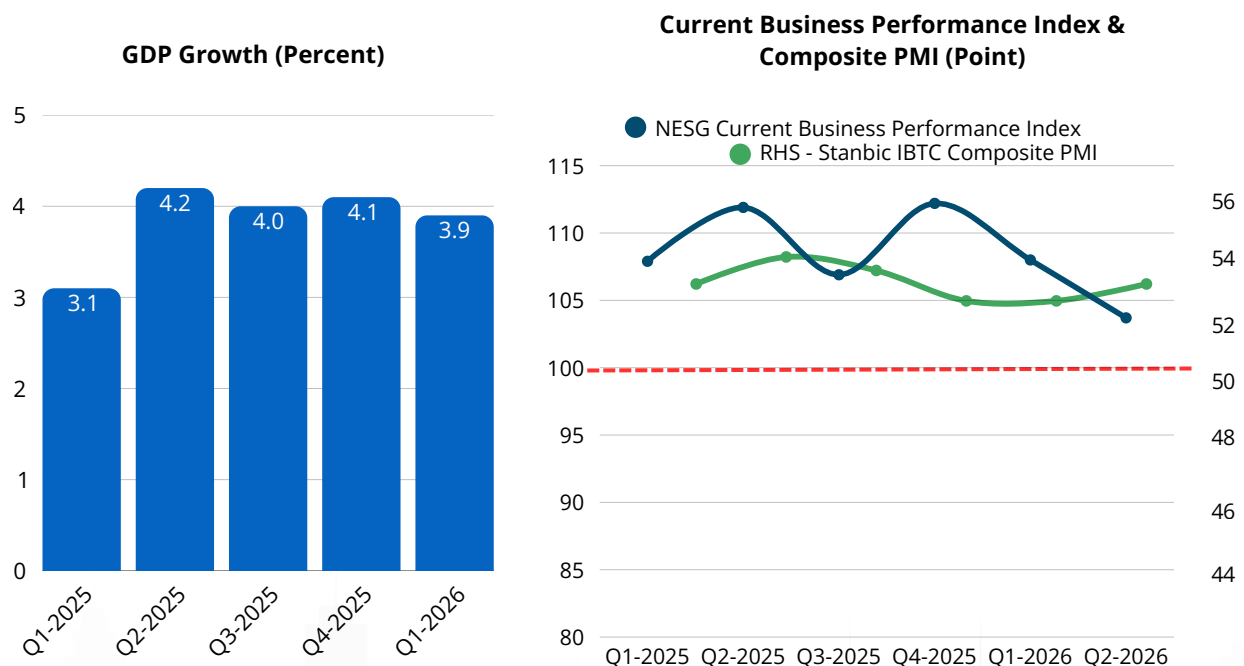
Review of the Nigerian Economy

1. Economic Growth Strengthened on Robust Non-Oil Sector Performance

Nigeria's economy expanded by 3.9 percent in Q1-2026, up from 3.1 percent in the corresponding quarter of 2025 (Fig. 3), reflecting sustained growth momentum driven by the non-oil sector. Growth was underpinned by robust performance in the Information and Communications Technology (ICT), Agriculture, Trade, and other key non-oil sectors. Collectively, the seven (7) growth drivers accounted for 90.3 percent of the overall GDP growth and 83.7 percent of the total real GDP in Q1-2026 (Fig. 4), underscoring the increasing role of the non-oil sector in supporting economic expansion.

The growth momentum is expected to continue into Q2-2026, supported by sustained improvements in private sector activity. This is reflected in the Purchasing Managers' Index (PMI), which increased to 53.3 points in Q2-2026 from 52.8 points in Q1-2026 (Fig. 3), indicating a faster pace of business expansion. Similarly, business activity remained in the expansion territory (exceeding the 100-point neutral threshold) throughout H1-2026, with a relatively higher Current Business Performance Index level at 108 points in the first quarter of the year, compared with 107.9 points in the corresponding period of 2025 (Fig. 3). In nominal terms, the Nigerian economy was valued at ₦110.8 trillion (US\$80.1 billion) in Q1-2026³.

Fig. 3: Nigeria's GDP & Private Sector Performance



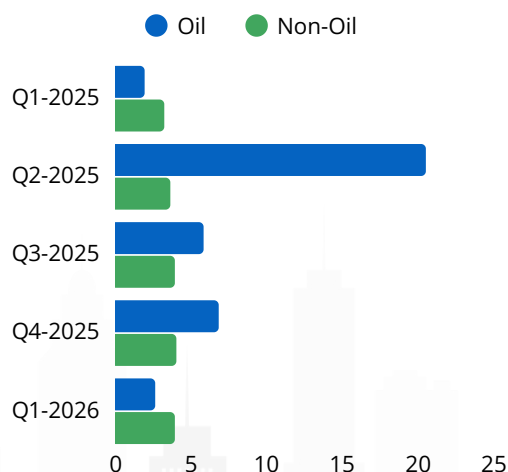
Data: NBS, NESG & S&P Global; Charts: NESG Research

³ The average official exchange rate of ₦1,383.8/US\$ for Q1-2026 was used for currency conversion.

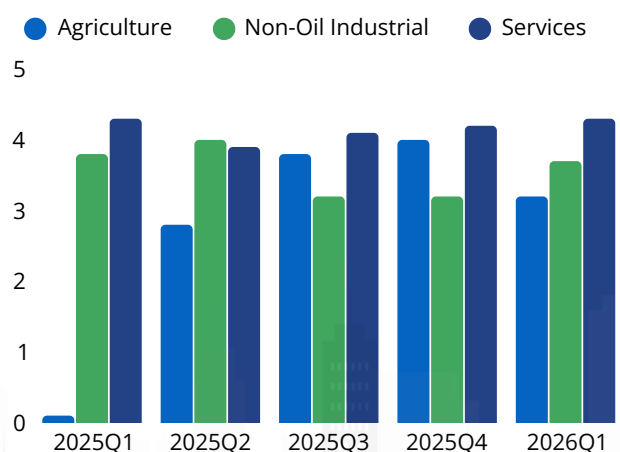
Fig. 4: Sectoral Performance in Q1-2026 (Percent)

Data: NBS; Calculation & Chart: NESG Research

The non-oil sector, which accounted for 96.1 percent of real GDP in Q1-2026, expanded by 3.9 percent, up from 3.2 percent in the corresponding period of 2025 (Fig. 5). This performance was driven by sustained growth in Agriculture, Manufacturing, and a few Services subsectors, reinforcing the sector's role as the primary engine of Nigeria's economic expansion. The oil sector, which contributed the remaining 3.9 percent of real GDP, also recorded improved growth, expanding by 2.6 percent in Q1-2026 compared with 1.9 percent in Q1-2025 (Fig. 5). However, this growth occurred despite a decline in domestic crude oil production, which averaged 1.55 million barrels per day (mbpd) in Q1-2026, down from 1.62 mbpd in Q1-2025.

Fig. 5: Oil & Non-Oil Growth (Percent)

Data: NBS; Charts: NESG Research

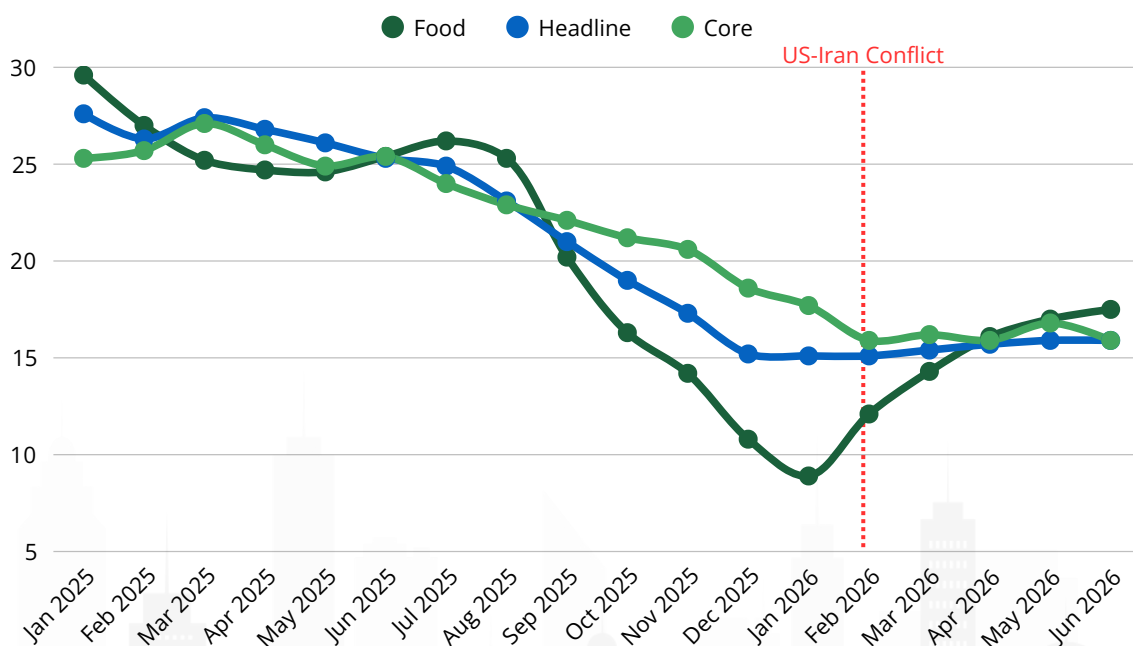
Fig. 6: Broad Sector Growth (Percent)

The Services sector remained the fastest-growing segment of the economy in Q1-2026, expanding by 4.3 percent, matching its growth rate in Q1-2025 (Fig. 6). The sector's strong performance was underpinned by sustained expansion in key subsectors, particularly ICT and Finance & Insurance. Although Real Estate and Trade recorded relatively slower growth, both sectors remained resilient and continued to support overall economic activity. The Agricultural sector registered a notable recovery, expanding by 3.2 percent in Q1-2026 compared with the 0.1 percent growth recorded in Q1-2025. This improvement was driven by stronger performance in crop production and forestry. Meanwhile, the Non-Oil Industrial sector expanded by 3.7 percent, slightly below the 3.8 percent recorded a year earlier (Fig. 6).

2. Disinflation Reversed Amid Emerging Headwinds

In the first half of 2026, the disinflationary trend weakened as all inflation indicators reversed the sustained moderation recorded during the second half of 2025. Headline inflation increased from 15.1 percent in January to 15.9 percent in June, averaging 15.5 percent in H1-2026 (Fig. 7). The resurgence of inflationary pressures reflected higher energy costs following the escalation of geopolitical tensions in the Gulf region, alongside persistent domestic supply-side bottlenecks. Elevated global energy prices translated into a sharp increase in domestic fuel costs, with the average petrol pump price rising from ₦1,034.8 per litre in January 2026 to ₦1,596.3 per litre in May. The increase in fuel prices raised transportation and production costs, which subsequently fed into higher consumer prices. As a result, food inflation accelerated from 12.1 percent in February to 17.5 percent in June (Fig. 7), reflecting higher distribution costs alongside supply-side constraints. Core inflation also edged higher, rising to 16.8 percent in May before easing to 15.9 percent in June. The moderation towards the end of the review period was partly supported by exchange rate appreciation, which helped contain imported inflation. The reversal in the disinflation trend shows that the earlier moderation in inflation remains vulnerable to energy-price shocks and domestic supply constraints.

Fig. 7: Nigeria's Inflation Rate (Percent)



Data: NBS; Chart: NESG Research

3. Fiscal Space Remained Constrained Despite Improved Revenue Performance

Preliminary estimates showed that Federal Government of Nigeria (FGN) revenue increased from 1.5 percent of GDP in Q1-2025 to 2.8 percent in Q1-2026, reflecting stronger revenue performance during the review period (Fig. 8). The increase was driven largely by higher Federation Account Allocation Committee (FAAC) transfers. Despite this improvement, revenue remained below the level envisaged in the annual budget, pointing to the continued challenge of raising sufficient resources to meet public spending needs. Government expenditure was estimated at 7.1 percent of GDP in Q1-2026, down from 9.0 percent in Q1-2025. However, spending remained well above revenue, resulting in an estimated budget deficit of 4.3 percent of GDP. While this represents a narrower gap than in Q1-2025, fiscal space remains tight.

Fig. 8: FGN Fiscal Account (Percent of GDP)

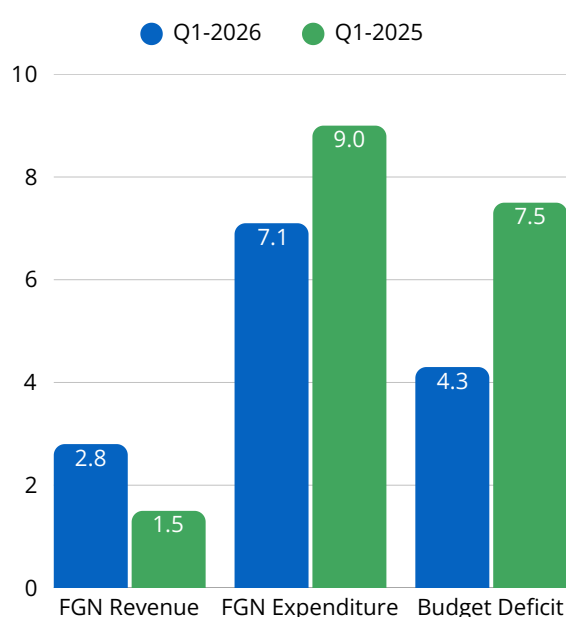
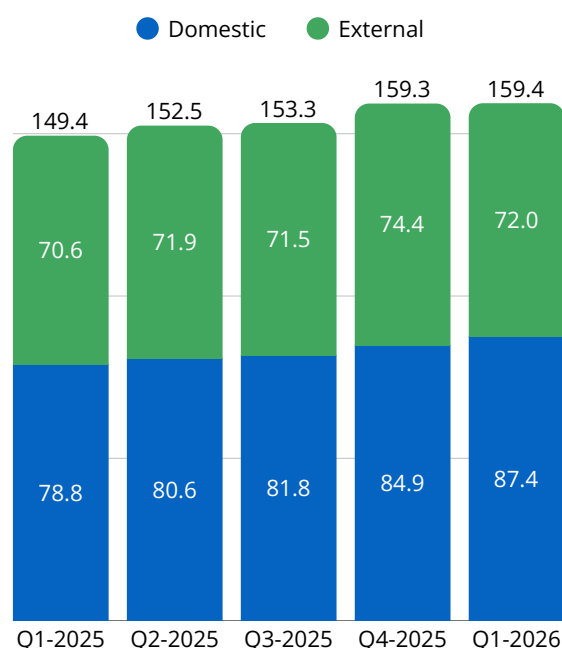


Fig. 9: Nigeria's Public Debt Stock (₦Trillion)



Data: OAGF & DMO; Charts: NESG Research

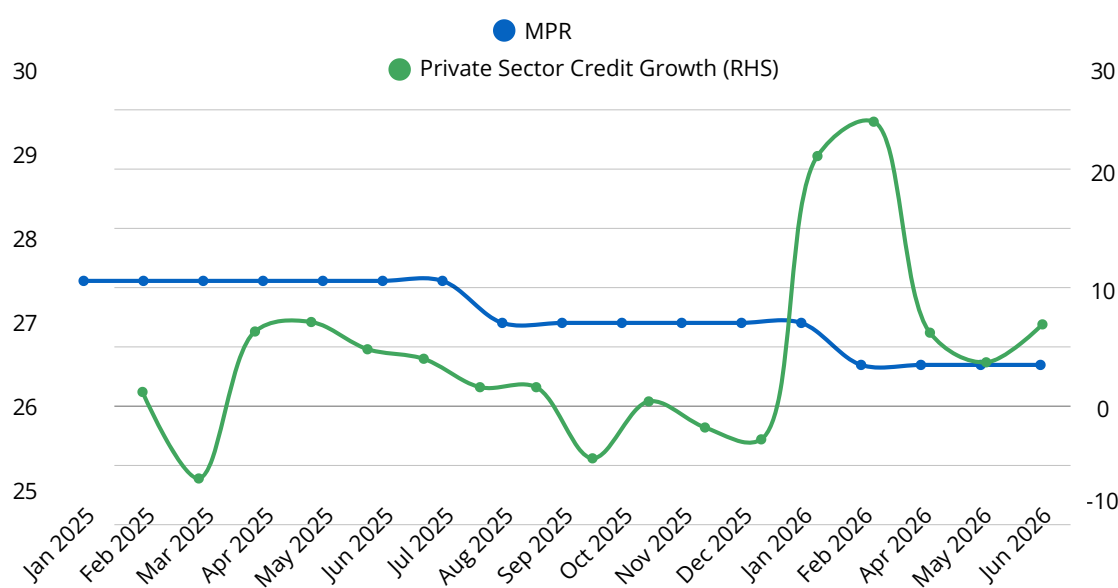
Moreover, Nigeria's public debt stock rose to a record high of ₦159.4 trillion as of Q1-2026, representing an increase of ₦10.0 trillion compared with its level in Q1-2025 (Fig. 9). The debt profile remained tilted towards domestic borrowing, which accounted for 54.8 percent of total public debt, while external debt constituted the remaining 45.2 percent. Despite the increase in the debt stock, the debt burden moderated, with the NESG Debt Burden Index⁴ declining from 78.3 points in Q1-2025 to 75.1 points in Q1-2026. However, the index remained high, indicating that debt-related pressures continue to weigh on the country's fiscal position (NESG, 2026a).

⁴ The NESG Debt Burden Index is a composite measure of debt-related fiscal pressures. A higher index value indicates greater debt pressure; see NESG (2025) for the index methodology.

4. Monetary Easing Supported Credit Expansion

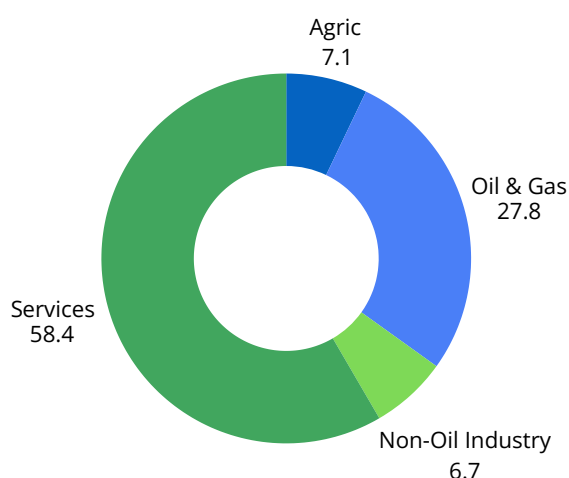
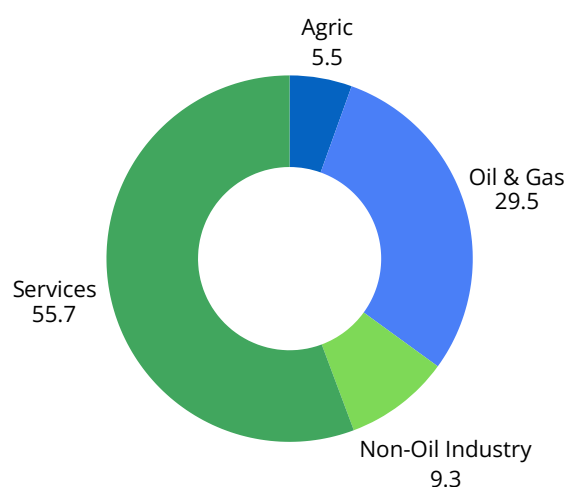
The Central Bank of Nigeria (CBN) maintained an accommodative monetary policy stance in Q1-2026 to support economic activity, while responding cautiously to renewed inflationary pressures. The Monetary Policy Committee (MPC) reduced the Monetary Policy Rate (MPR) by 50 basis points to 26.5 percent in February 2026 (Fig. 10). As inflationary pressures resurfaced, the Committee left the MPR unchanged at its May meeting. Other key monetary policy parameters were also retained, including the Cash Reserve Ratio (CRR) at 45.0 percent for Deposit Money Banks and 16.0 percent for Merchant Banks, the Public Sector CRR at 75.0 percent, the Liquidity Ratio at 30.0 percent, and the Standing Facilities Corridor at +50/-450 basis points around the MPR. The easing in monetary conditions supported stronger credit expansion. Credit to the private sector grew by 24.0 percent in February 2026, then moderated to 6.9 percent by the end of H1-2026, but remained above the 4.0 percent expansion recorded in H1-2025 (Fig. 10).

Fig. 10: Monetary Policy Rate and Private Sector Credit Growth (Percent)



Data: CBN; Chart: NESG Research

The increase in private-sector credit is encouraging, but the distribution of lending remains a concern. Services continued to dominate bank lending, accounting for 58.4 percent of the total bank credit in H1-2026, up from 55.7 percent in H1-2025 (Fig. 11a and 11b). In contrast, Oil & Gas and Non-Oil Industrial sectors accounted for 27.8 percent and 6.7 percent, respectively, while Agriculture received 7.1 percent. Within the productive sectors, relatively smaller shares went to Manufacturing (8.3 percent), Construction (4.6 percent) and Real Estate (1.6 percent). This concentration of bank credit suggests that the expansion in lending is not being matched by broad-based access to finance for investment and expansion, particularly in sectors with strong employment and productivity potential.

Fig.11a: Sectoral Share of Bank Credit in H1-2026 (Percent)**Fig.11b: Sectoral Share of Bank Credit in H1-2025 (Percent)**

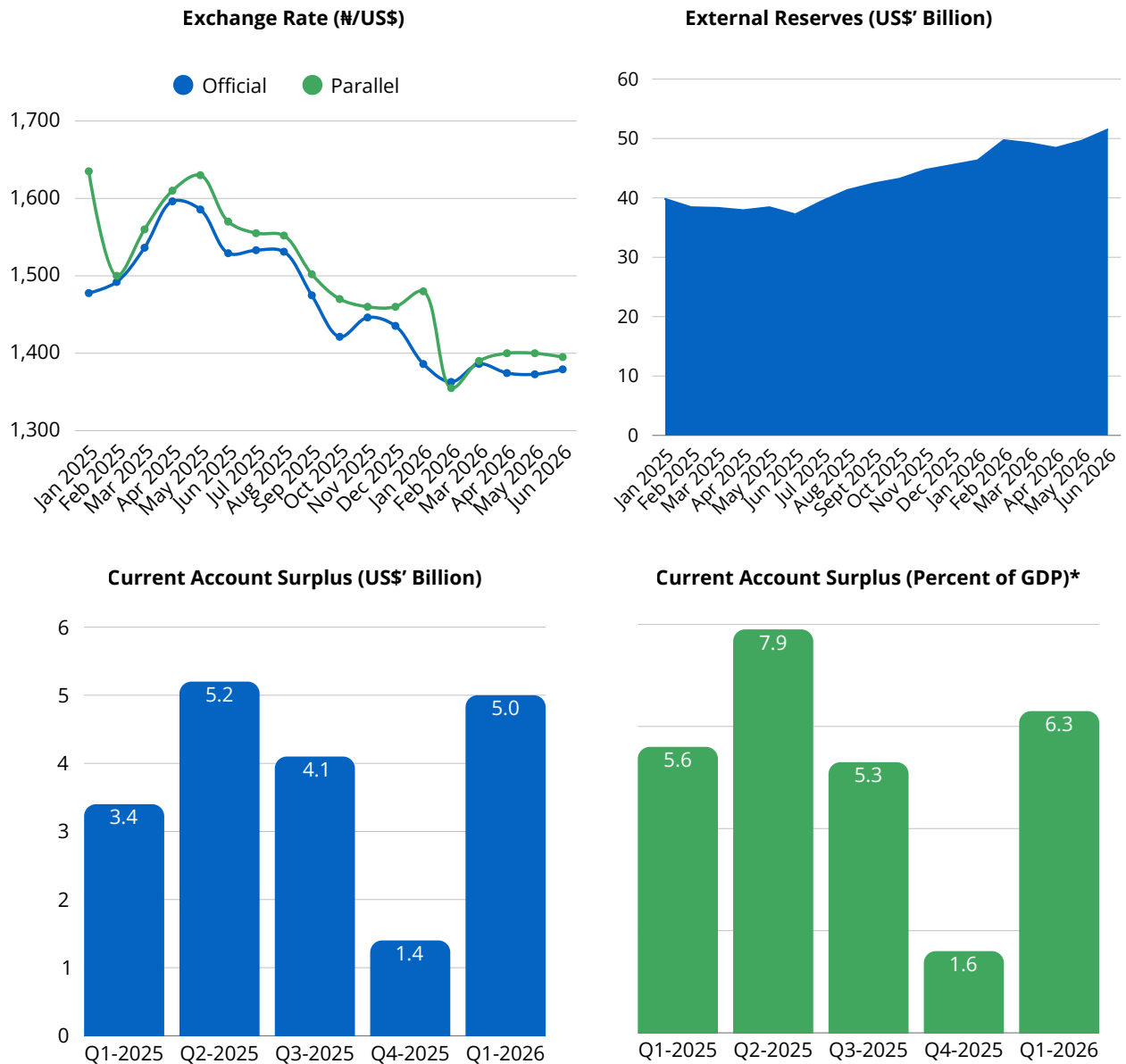
Data: CBN; Charts: NESG Research

5. External Position Strengthened Amid Improved FX Liquidity

Nigeria's external sector strengthened considerably in H1-2026, supported by improved foreign exchange (FX) liquidity and stronger external buffers. The first half of the year was characterised by a stronger naira, as the exchange rate appreciated by 11.2 percent year-on-year to ₦1,379.2/US\$ in the official FX window and by 11.5 percent to ₦1,395.0/US\$ in the parallel market (Fig. 12). Notably, the parallel market premium narrowed to 1.1 percent in H1-2026 from 2.7 percent in H1-2025. This performance was underpinned by a sustained build-up in the external reserves, which strengthened the CBN's capacity to support the naira.

The external reserves increased significantly to US\$51.5 billion in H1-2026 from US\$37.2 billion a year earlier (Fig. 12). The increase was driven primarily by strong export earnings, foreign investment inflows, and resilient international remittances. In Q1-2026, Foreign Portfolio Investment (FPI) inflows stood at US\$6.0 billion, up from US\$5.0 billion in Q1-2025, according to data from the Balance of Payments Account. Similarly, Foreign Direct Investment (FDI) inflows rose to US\$1.0 billion from US\$0.7 billion over the same period. Nonetheless, the overwhelming dominance of FPI inflows highlights Nigeria's continued vulnerability to sudden capital reversals.

Moreover, the current account balance remained favourable, with surplus widening to approximately US\$5.0 billion (or 6.3 percent of GDP) in Q1-2026, compared with US\$3.4 billion (or 5.6 percent of GDP) in Q1-2025 (Fig. 12), reflecting improved oil export earnings coupled with lower import bills, largely attributed to the persistent decline in petrol imports. Notably, premium motor spirit (PMS) imports fell sharply from US\$3.0 billion in Q1-2025 to US\$0.3 billion in Q1-2026, driven by sustained improvement in local oil refining activity.

Fig. 12: Selected External Sector Indicators

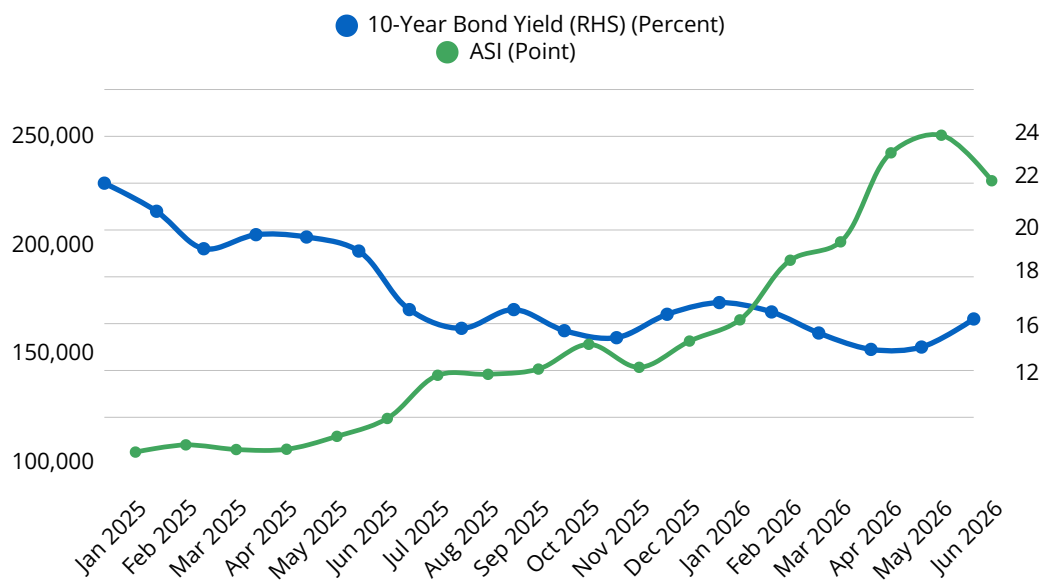
Data: CBN, NBS & investorsking.com; *Calculation & Charts: NESG Research



6. Stock Market Rally Coincided with Strong Demand for Fixed-Income Assets

Nigeria's capital market recorded a strong performance in H1-2026, with the Nigerian Exchange (NGX) All-Share Index (ASI) rising by 91.2 percent to 229,419. points, from 119,978.6 points in the corresponding period of 2025 (Fig. 13). The rally was driven by improved corporate earnings, relative exchange rate stability, and renewed investor confidence following the recent banking sector recapitalisation programme. The equity market's strong performance was primarily facilitated by domestic investors, with their share of total market transactions increasing from 72.9 percent in H1-2025 to 87.9 percent in H1-2026. In contrast, foreign investor participation declined from 27.1 percent to 12.1 percent (NGX, 2026). This suggests that the market rally was largely underpinned by stronger domestic liquidity rather than foreign portfolio inflows.

Fig. 13: Nigeria's Stock and Bond Market Performance



Data: NGX; Chart: NESG Research

At the same time, institutional investors—including Pension Fund Administrators, commercial banks, and insurance companies—maintained a strong preference for fixed-income securities, particularly the 10-year Federal Government bond, in the secondary market. This robust demand contributed to a steady decline in bond yields, with the average yield on the 10-year bond dropping to 15.9 percent in H1-2026 from 20.1 percent in H1-2025 (Fig. 13). The simultaneous strength of both the equity and fixed-income markets is consistent with improved domestic liquidity and stronger investor confidence, with market participants balancing capital appreciation opportunities in equities against the relative safety and stable returns offered by government securities.

Conclusion

The geopolitical tensions in the Gulf region in H1-2026 presented both opportunities and risks for the Nigerian economy. While higher global oil prices boosted export earnings and government revenues, they also contributed to the inflationary pressures observed during the review period. At the same time, persistent disruptions to global supply chains reinforced the urgency for Nigeria to reduce its dependence on hydrocarbon revenues by strengthening its non-oil export base. Without a more diversified and competitive industrial sector, the country will remain heavily reliant on imported intermediate inputs and finished manufactured goods, leaving it vulnerable to external shocks.

Although Nigeria's stock market ranked among the world's best-performing equity markets in H1-2026, the broader economic recovery has translated into productive investment only modestly. Credit growth remains concentrated in services, while manufacturing continues to face limited access to finance, high production costs, low capacity utilisation and weak export competitiveness. Achieving rapid industrialisation is no longer a policy aspiration but an economic imperative for positioning Nigeria competitively within the evolving global economy. Measurable actions are urgently required to address long-standing structural constraints, including inadequate infrastructure, policy inconsistency, limited access to affordable and long-term finance, and weak human capital outcomes. Tackling these bottlenecks is essential to unlocking industrial development, enhancing productivity, and achieving inclusive growth.



Part B:

Turning Potential into Progress: Accelerating Nigeria's Industrialisation for Economic Transformation and Inclusion



Introduction

Over the past several decades, Nigeria has pursued industrialisation as a central pillar of its economic transformation agenda. Successive governments have introduced numerous industrial strategies, national development plans, and sector-specific initiatives aimed at diversifying the economy, expanding domestic production, creating jobs, and reducing dependence on primary commodity exports. Despite these sustained policy efforts, the country is short of the industrial transformation required to drive inclusive growth.

A major constraint has been Nigeria's continued reliance on the oil sector for fiscal revenues and export earnings despite the vast potential in non-oil sectors, particularly manufacturing. Early import-substitution policies provided temporary protection for domestic industries but did little to build export competitiveness, technological capabilities, or integration into global value chains. Subsequent market liberalisation under the Structural Adjustment Programme (SAP) exposed domestic firms to heightened import competition before many had developed the productivity and technological capacity needed to compete effectively. Consequently, a significant share of the country's industrial base weakened rather than expanded.

These longstanding challenges have been amplified by persistent structural constraints. Infrastructure gaps continue to weigh on industrial competitiveness, while investment in critical infrastructure remains below the level needed to fully support sustained economic growth and industrial transformation. Inadequate electricity supply, inefficient transport and logistics systems, and limited industrial infrastructure substantially increase production costs and discourage private sector investment.

These constraints are compounded by heavy dependence on imported intermediate inputs, insecurity, limited access to long-term finance, shortages of skilled labour, and policy inconsistency. Collectively, these structural constraints have continued to weigh on the business environment, reflected in multiple firm closures, the scaling back of operations by some multinational companies, subdued private investment, and modest industrial growth.

The persistence of these challenges suggests that industrialisation cannot be achieved through industrial policy alone. Rather, it requires a coordinated policy architecture that simultaneously addresses the foundational constraints limiting productive capacity while ensuring that industrial growth translates into broad-based improvements in living standards. Industrialisation should therefore be viewed not merely as an expansion of manufacturing activity, but as a pathway to creating productive employment, raising household incomes, reducing poverty, and strengthening economic resilience.

Moreover, without a sustained commitment to industrialisation, a large share of Nigerians will remain trapped in the informal economy, characterised by low productivity and limited wage employment. In 2023, the informal sector accounted for 92.2 percent of total employment, while about 85 percent of workers were self-employed. The persistent challenge is the limited transition of labour into higher-productivity sectors. Recent NBS data show that low-productivity services accounted for 46.5 percent of total employment in 2023, exceeding agriculture's 30.1 percent share (Erumebor & Itiowe, 2025).

With Nigeria's population and workforce expected to grow significantly, this demographic expansion presents both significant risks and opportunities. Without the creation of productive jobs at scale, the population of working poor will expand, while social pressures—manifested in insecurity and heightened tensions—could intensify. Conversely, strategic investments in human capital and key productive sectors could unlock substantial productivity gains, accelerate structural transformation, and create more productive employment opportunities.

Against this backdrop, this report proposes a KPI-driven framework that links industrialisation progress with social inclusion through three mutually reinforcing pillars—inputs, outputs, and outcomes. The framework recognises that weaknesses in any one pillar can undermine the effectiveness of the others, underscoring the need for a holistic approach to industrial development. It demonstrates that while industrialisation inevitably entails short-term adjustment costs, its long-term developmental gains depend on complementary policies that expand opportunities, strengthen household welfare, and promote broad-based participation in economic activities.

Drawing on the industrialisation experiences of China and South Korea, the report highlights the policy measures and institutional reforms that enabled their transition to manufacturing-led economies and distils lessons relevant to Nigeria's development context. Building on these insights, it proposes practical measures for effectively operationalising Nigeria's latest industrial policy to accelerate industrial transformation and deliver more inclusive and sustainable development outcomes.



Current State Analysis of Industrial Progress

Manufacturing remained the largest contributor to both output and employment within Nigeria's industrial sector

The Industrial sector comprises five broad subsectors: Manufacturing; Mining and Quarrying (including Oil and Gas and Other Mining); Construction; Electricity Supply; and Water Supply⁵. Among these, Manufacturing has grown to become the largest contributor to industrial output, with its share rising significantly to 47.9 percent in 2025 from 28.2 percent in 2010 (Fig. 14). Its contribution further rose to 50.1 percent in Q1-2026 (NBS, 2026). Construction and Oil & Gas were the next largest contributors, accounting for 23.8 percent and 21.1 percent of industrial output, respectively, in 2025.

Furthermore, Manufacturing continued to lead in job creation within the sector, accounting for 76.5 percent of total industrial employment in 2023, up from 73.2 percent in 2017 (Fig. 15). In contrast, Construction—the second-largest employer within the sector—recorded a decline in its employment share from 23.6 percent to 21.1 percent over the same period, while the remaining subsectors together contributed only 2.5 percent to the total industrial employment in 2023. This concentration of industrial output and employment highlights the need for Nigeria to prioritise manufacturing-led structural transformation, consistent with the experience of successful industrialised economies including China, South Korea, and Vietnam.

Fig.14: Composition of Industrial Output (Percent)

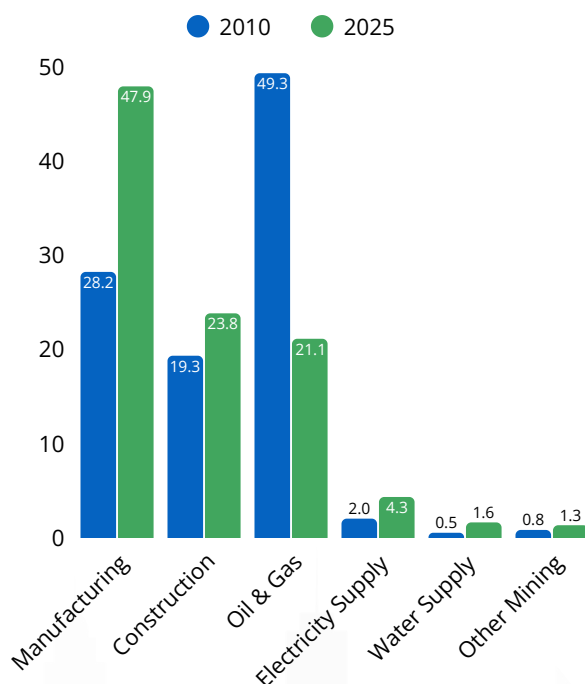
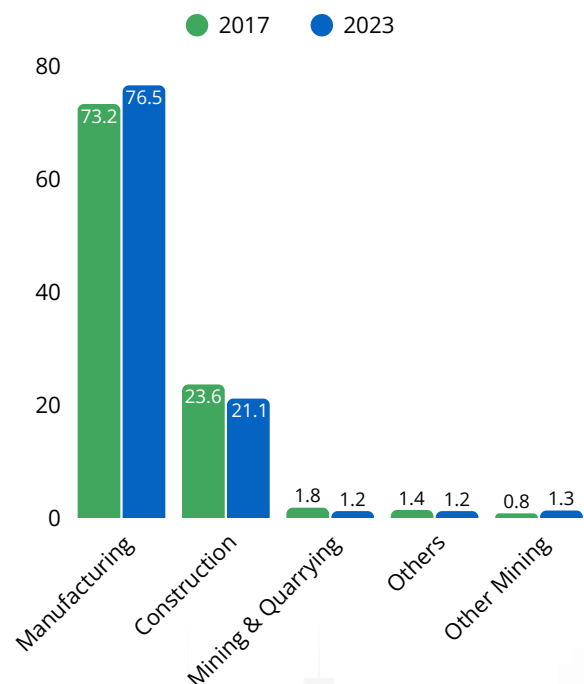


Fig.15: Share of Industrial Employment (Percent)



Data: NBS; Charts: NESG Research

⁵ Here, mining and quarrying was disaggregated into oil & gas and other mining for analytical purposes.

Manufacturing growth strengthened in Q1-2026 following several quarters of subdued performance, driven largely by a few dominant subsectors

The Manufacturing sector recorded quarterly growth of less than 2.0 percent throughout 2024 and 2025. However, performance improved markedly in Q1-2026, with growth accelerating to 3.3 percent (Fig. 16). Despite this rebound, the sector's contribution to real GDP was below 10.0 percent throughout the review period (Fig. 17), underscoring the sector's relatively small contribution to aggregate output. This weak contribution mirrors the sector's persistently low capacity utilisation, which has consistently remained below 60 percent over the review period, as well as sluggish productivity growth, estimated at 0.4 percent in 2024⁶.

Fig. 16: Growth in Manufacturing Output (Percent)

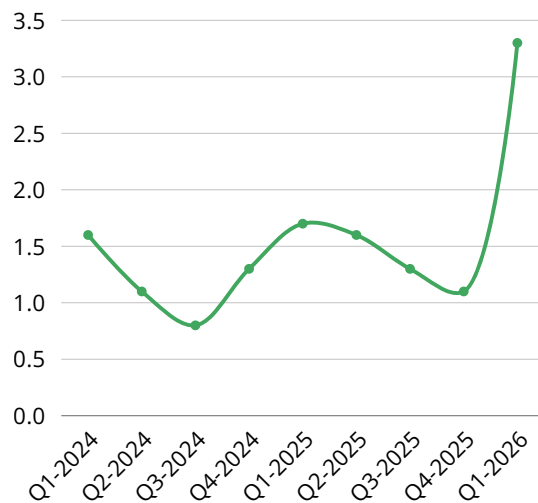


Fig. 17: Manufacturing Share of Real GDP (Percent)

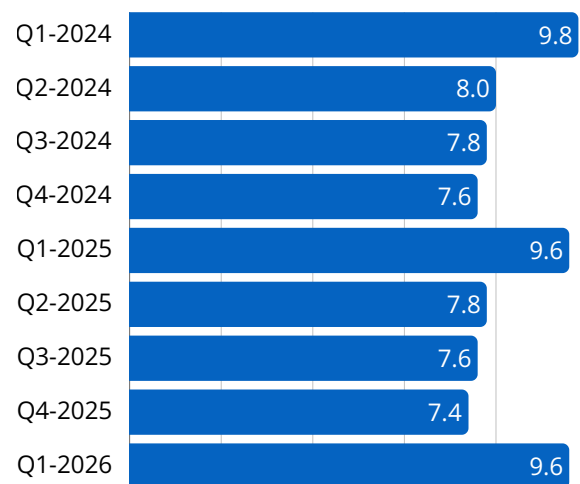


Fig. 18: Growth in Key Manufacturing Activities (Percent)

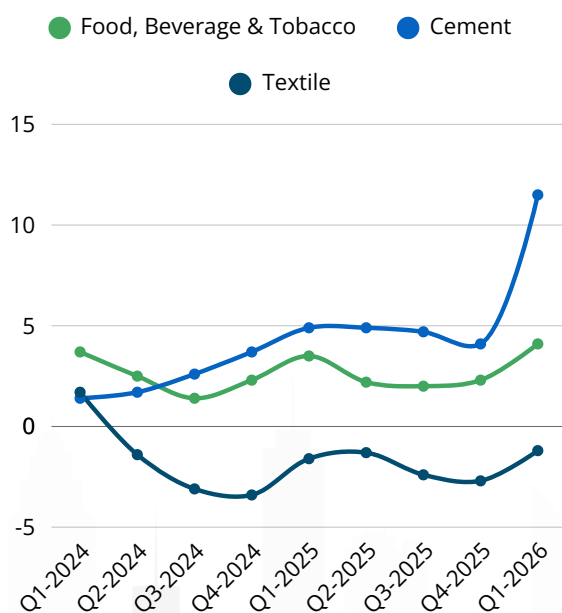
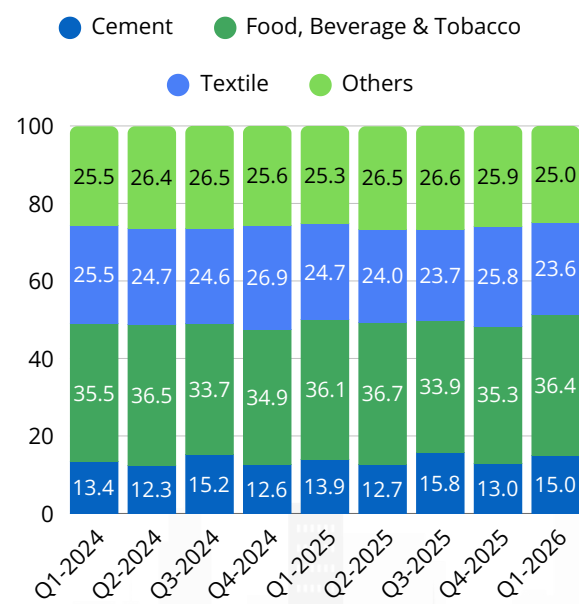


Fig. 19: Composition of Manufacturing Output (Percent)



Data: NBS; Charts: NESG Research

⁶The productivity growth was computed as the percentage change in the real manufacturing value added per capita, for which data was sourced from UNIDO (2025a).



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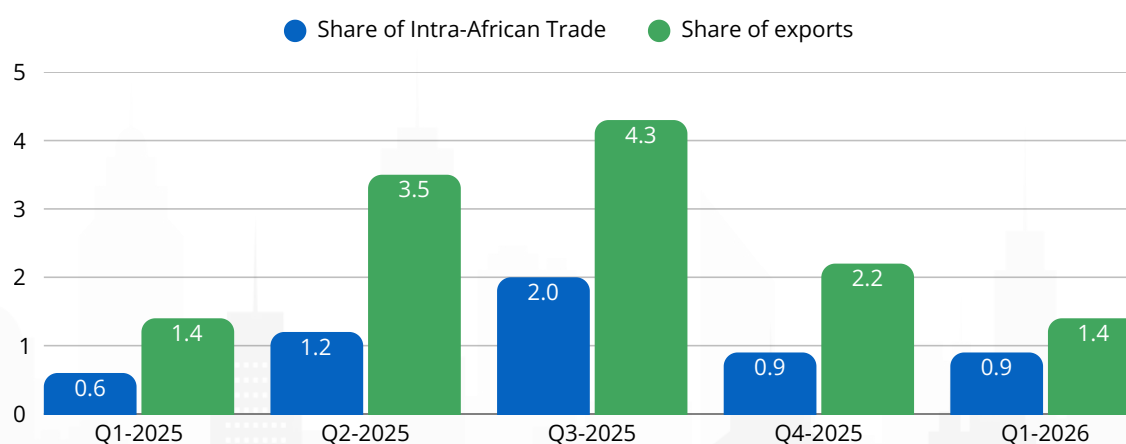
The sector continues to face longstanding structural constraints, including inadequate infrastructure—particularly unreliable electricity supply—heavy dependence on imported intermediate inputs, high borrowing costs, limited access to long-term finance, skills shortages, low technology adoption and intense competition from imported manufactured products. Nevertheless, the recent improvement in manufacturing performance was largely underpinned by strong growth in two of its largest subsectors—Cement and Food, Beverage & Tobacco—which expanded by 11.5 percent and 4.1 percent, respectively, in Q1-2026 (Fig. 18).

In contrast, Textiles, the third-largest manufacturing subsector, has remained in contraction since Q2-2024. Together, these three subsectors accounted for three-quarters of total manufacturing output in Q1-2026 (Fig. 19). Although subsectors such as Oil Refining and Chemical & Pharmaceutical Products have consistently recorded robust growth, their relatively small shares in total manufacturing output have limited their contribution to overall manufacturing growth. This concentration of growth among a few subsectors underscores the need to address the sector's structural bottlenecks to achieve more diversified, broad-based, and sustained manufacturing growth in Nigeria.

Manufacturing exports and intra-African trade remained weak, reflecting the sector's limited competitiveness

The share of manufactured goods in Nigeria's total exports increased steadily to 4.3 percent in Q3-2025 before falling sharply to 1.4 percent in Q1-2026 (Fig. 20). Similarly, manufactured goods accounted for only a marginal share of Nigeria's intra-African trade, dropping from 2.0 percent in Q3-2025 to 0.9 percent in Q1-2026. These trends underscore the country's limited participation in regional and global manufacturing value chains and its continued reliance on primary commodity exports. Consequently, Nigeria is unlikely to fully harness the opportunities presented by the African Continental Free Trade Area (AfCFTA) unless it accelerates the development of a competitive manufacturing sector. Achieving this will require reducing dependence on crude oil exports, expanding domestic value addition, and promoting manufacturing-led non-oil exports to diversify export markets, strengthen foreign exchange earnings, and create more resilient and sustainable sources of economic growth.

Fig. 20: Manufacturing Trade Performance (Percent)



Data: NBS; Chart: NESG Research

Manufacturing sector remains inadequately financed, constraining its capacity for expansion and job creation

The sector's share of total bank credit fell steadily from 12.2 percent in H1-2025 to 8.3 percent in H1-2026 (Fig. 21). Limited access to finance continues to be a major constraint confronting many manufacturing firms, driven by high borrowing costs, elevated investment uncertainty, weak loan recovery and contract enforcement mechanisms, and fragmented credit information systems that hinder effective assessment of borrowers' creditworthiness (NESG, 2026b). In addition to limited domestic financing, the sector attracts only a small share of foreign investment, accounting for just 1.5 percent of the total inflows in Q1-2026, down from 2.3 percent in Q1-2025 and its 2025 peak of 4.8 percent in Q4 (Fig. 22). This persistent financing gap underscores the need for targeted measures to improve access to affordable long-term finance, strengthen the credit system, and enhance the investment climate to support the productive sectors.

Fig. 21: Manufacturing Share of Bank Credit (Percent)

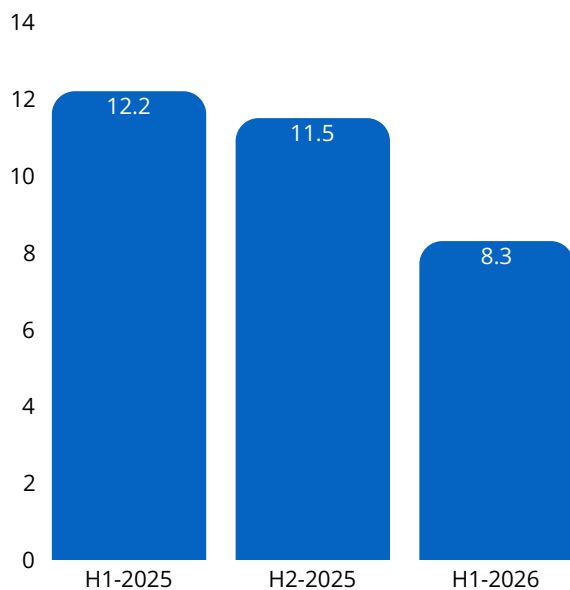
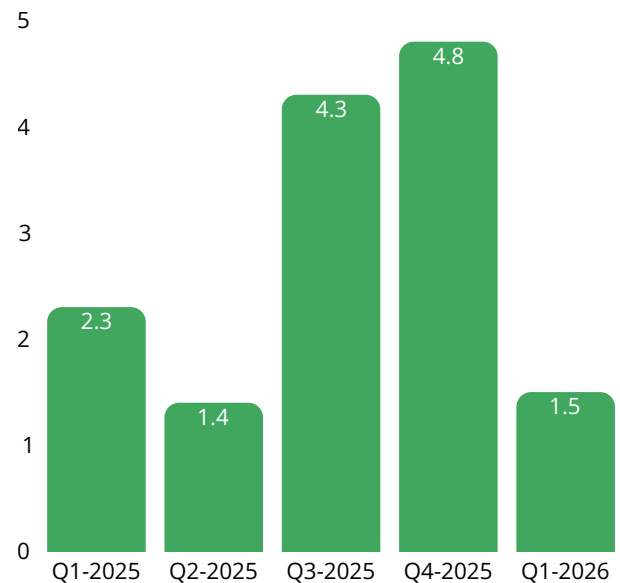


Fig. 22: Manufacturing Share of Capital Inflows (Percent)



Data: CBN & NBS; Charts: NESG Research

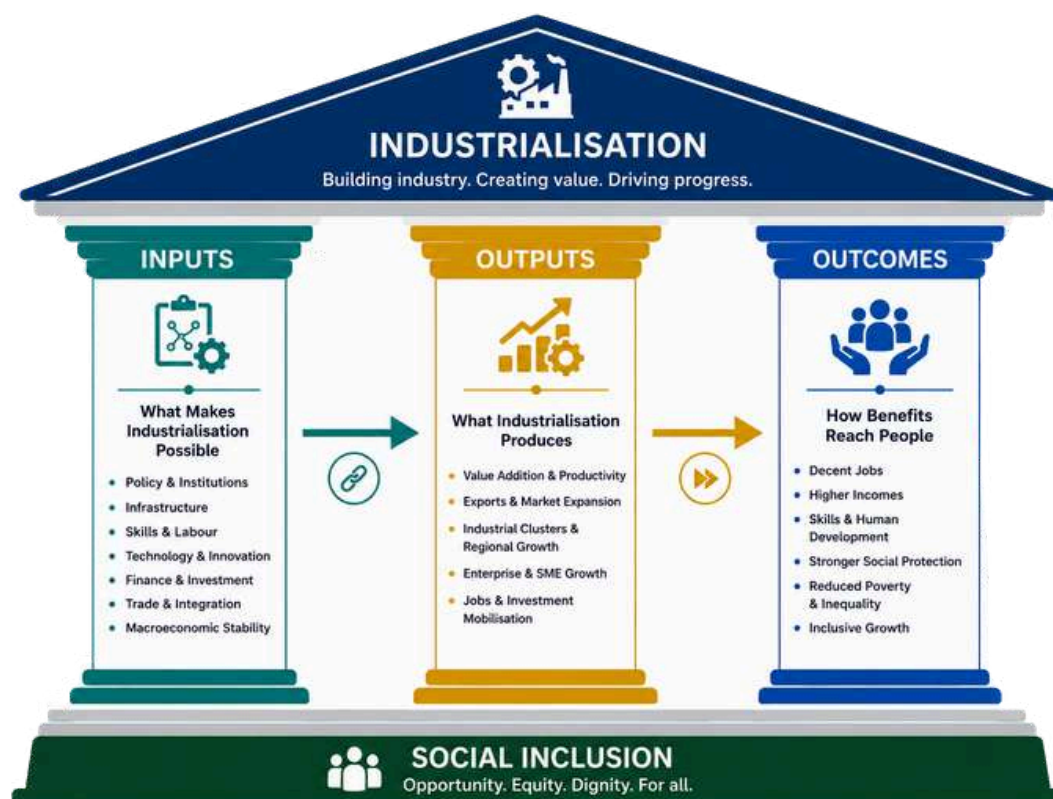
Integrated Framework for Translating Industrial Progress into Social Inclusion

Recent evidence points to a strong link between industrialisation and poverty reduction (Erumban & De Vries, 2024; Karahasan, 2023; Lavopa & Donnelly, 2025). It shows that structural transformation towards a more diversified, productive, and manufacturing-led economy is a key driver of poverty alleviation, particularly in developing countries (UNIDO, 2025b). There are several reasons why industrialisation remains central to economic development.

First, it has long been recognised as a catalyst for economic growth, job creation, and foreign exchange earnings. These gains stem from the manufacturing sector's ability to exploit economies of scale, foster strong backward and forward production linkages, and facilitate technological learning and spillovers (Szirmai, 2012). Second, industrialisation shifts resources towards higher value-added, more sophisticated, and diversified production activities, thereby enhancing productivity, competitiveness, and long-term socioeconomic progress. Finally, rapid industrialisation expands productive employment opportunities, raises household incomes, and stimulates domestic demand (Lavopa & Donnelly, 2025).

Moreover, industrial policy plays a critical role in unlocking productivity gains and accelerating structural transformation in developing economies (Lee, 2024). However, while industrial policy can be an important condition for industrialisation, it is not sufficient on its own. Its effectiveness depends on the presence of enabling structural fundamentals, including adequate infrastructure, human capital, access to finance, institutional quality, and technological capabilities, which support successful implementation (Fernandes & Reed, 2026).

Against this backdrop, we developed a conceptual framework that links industrialisation to social inclusion through three reinforcing channels—inputs, outputs, and outcomes—capturing the key pathways through which a country's industrialisation progress translates into broader socioeconomic benefits (Fig. 23).

Fig. 23: Linking Industrialisation to Social Inclusion

Source: NESG Research

Pillar 1: Inputs – What Makes Industrialisation Possible

The first pillar represents the foundational conditions required for successful industrialisation. These inputs determine an economy's capacity to develop a competitive manufacturing sector and sustain industrial growth. They include effective industrial policies and institutions that provide strategic direction and strengthen government effectiveness; reliable infrastructure—particularly electricity, transport, and telecommunications—that reduces production and logistics costs; a skilled and productive workforce, supported by investments in tertiary education and digital competencies; and technological capability and innovation, driven by research and development (R&D).

Other critical inputs are adequate access to finance and investment to support industrial expansion; trade openness and regional integration that connect firms to larger markets and value chains; and a stable macroeconomic environment characterised by low inflation, exchange rate stability, and sustainable public debt, which enhances investor confidence.

Pillar 2: Outputs – What Industrialisation Produces

The second pillar captures the immediate economic gains generated by industrialisation. When supported by strong inputs, industrial development increases manufacturing value addition, productivity, and competitiveness. It also promotes export expansion and diversification, strengthens industrial clusters and supply-chain linkages, stimulates enterprise development—particularly among SMEs—and mobilises private investment. These outputs signify improvements in productive capacity and structural transformation, enhancing the economy's ability to create wealth, compete in regional and global markets, and reduce dependence on primary commodity exports.

Pillar 3: Outcomes – How Industrialisation Benefits Society

The third pillar represents the broader socioeconomic outcomes arising from sustained industrial progress. As industrial output expands, firms create more decent and productive jobs, raising household incomes and improving living standards. Industrialisation also stimulates skills development and human capital accumulation through learning-by-doing and technological upgrading. Higher incomes and stronger economic performance can expand government fiscal capacity to invest in social protection and essential public services. Over time, these improvements can contribute to lower poverty and inequality, greater economic opportunities, and more inclusive growth. The framework therefore views social inclusion as the cumulative result of an industrialisation process that distributes the benefits of economic transformation widely across individuals, households, regions, and businesses.

Additionally, this framework also recognises that the benefits of industrialisation do not materialise immediately. The transition from a low-productivity, commodity-dependent economy to a manufacturing-led economy inevitably involves short-term adjustment costs as labour, capital, and other productive resources are reallocated towards more productive activities. During this transition, some workers may experience temporary job displacement or income losses as industries restructure, while less competitive firms may downsize or exit the market in response to increased competition and technological upgrading.

At the same time, governments often face significant fiscal demands to finance critical infrastructure, strengthen human capital, provide industrial incentives, and support enterprise development. These adjustment costs are a natural feature of structural transformation and should not be viewed as policy failures. Rather, they underscore the importance of complementary policies—including active labour market programmes and interventions, targeted social protection, skills upgrading, access to finance, and a predictable industrial policy framework—to ease the transition and ensure that the long-term gains from industrialisation are broadly shared in the society.

Country Lessons: Rapid Economic Transformation with Inclusion

Historically, industrialisation has been an important pathway for reducing poverty, creating productive employment, and accelerating structural transformation. The experiences of China, South Korea, and Vietnam demonstrate how well-designed industrial policies, implemented alongside complementary structural reforms, can generate profound economic and social progress.

In China, industrialisation transformed the country into the world's largest manufacturing economy while lifting nearly 800 million people out of poverty—accounting for almost three-quarters of the global decline in extreme poverty between 1981 and 2022 (World Bank, 2022). Similarly, South Korea's export-oriented industrialisation strategy, initiated in the 1960s, shifted the economy from agriculture to manufacturing, driving rapid economic growth, expanding productive employment, and substantially reducing poverty and inequality (Kniivilä, 2007). Vietnam has followed a comparable trajectory by leveraging market reforms, foreign direct investment, and integration into global value chains to build a competitive manufacturing sector, sustain high economic growth, and achieve significant reductions in poverty (Chi et al., 2020).

Despite differences in their development paths, these economies share several common features. They combined strategic industrial policies with investments in infrastructure, human capital, technology, and institutional capacity; prioritised export competitiveness and manufacturing productivity; and linked government support to measurable performance outcomes. Rather than relying on macroeconomic stability alone, they used periods of economic reform to drive structural transformation through coordinated public investment, targeted incentives, and continuous institutional learning. These experiences demonstrate that industrial policy delivers tangible results when supported by complementary enabling conditions and effective implementation.

The experiences of these countries reinforce the framework proposed in this report. Successful industrialisation begins with strong inputs—including sound institutions, infrastructure, skills, technology, finance, trade integration, and macroeconomic stability—which generate higher industrialisation outputs through increased productivity, value addition, exports, and investment mobilisation. These gains ultimately translate into inclusive outcomes, including decent employment, higher incomes, and poverty reduction.

As shown in Table 3, China, South Korea, and Vietnam have consistently outperformed Nigeria across these three pillars, highlighting the significant gaps the country must address to achieve manufacturing-led structural transformation and improved social inclusion outcomes. In addition, Boxes 1 and 2 spotlight the economic transformation experience of China and South Korea, respectively, and outline useful lessons for Nigeria.



Table 3: Cross-Country Comparison Across Industrialisation Inputs, Outputs, and Outcomes Indicators

	China	South Korea	Vietnam	Nigeria
Inputs				
Government effectiveness (percentile) ^d	63.3	76.8	66	31.7
Access to electricity (%) ^d	100	100	100	62.5
Human Development Index (points) ^c	0.8	0.9	0.8	0.6
Mobile Connectivity Index (points) ^a	79.1	84.7	72.7	54.4
Inflation (%) ^e	0.1	2.1	3.3	23.0
Outputs				
Manufacturing share of GDP (%) ^e	24.7	27.4	24.5	8.3
Manufacturing share of exports (%) ^c	91.9	86.1	85	2.8
High-tech exports (% of manufacturing exports) ^c	26.6	30.3	44.3	3.5
Real manufacturing value added per capita (US\$) ^d	3,563	10,115	1,038	209
Outcomes				
International poverty rate (%) ^e	-	-	1.3	50.9
Social Protection Coverage (%) ^b	75.6 (2021)	80.2	38.3	14.8
Share of Vulnerable Employment (%) ^e	33	18	51	66

Note: a, b, c, d and e indicate data for 2021, 2022, 2023, 2024 and 2025, respectively. Where a different year applies, the year is stated explicitly.

Source: World Bank, UNDP, ILO & GSMA



Box 1: China: Stage-Sensitive Industrial Policy

China's industrialisation demonstrates how industrial policy can evolve alongside a country's stage of development and long-term economic objectives. Following the Reform and Opening-Up Policy of 1978, China adopted a gradual and pragmatic approach to industrial development, shifting over time from strengthening basic industries to promoting export-oriented manufacturing and, more recently, technology-intensive sectors under initiatives such as Made in China 2025.

Rather than relying on industrial policy alone, China combined strategic planning with complementary investments in infrastructure, education, technology, and institutions to build a globally competitive manufacturing sector. This coordinated approach transformed China into the world's largest manufacturing economy while delivering rapid economic growth, large-scale poverty reduction, job creation, and expanding social protection, illustrating the complementarity between industrialisation and inclusive development.

A defining feature of China's strategy was its stage-sensitive and experimental approach to reform. Instead of liberalising the entire economy simultaneously, the government established a limited number of Special Economic Zones (SEZs) in coastal cities as controlled environments for testing market-oriented reforms. These zones offered superior infrastructure, streamlined administrative procedures, preferential tax treatment, improved access to land and finance, and greater openness to foreign investment.

The SEZs attracted multinational firms, facilitated technology transfer and managerial learning, integrated domestic firms into global value chains, and stimulated export-oriented manufacturing. Local governments were encouraged to compete for investment, exports, and employment, creating strong incentives to improve policy implementation and the business environment. Successful reforms were subsequently scaled up nationwide, while ineffective policies were modified or discontinued.

Moreover, China's experience demonstrates that successful industrialisation depends not only on choosing the right sectors but also on sequencing reforms in line with institutional capacity and economic readiness. The country's success was built on starting small, learning through implementation, and scaling up only after proven success. At the same time, China's experience cautions against indiscriminate replication. The expansion of industrial zones into regions lacking adequate infrastructure, institutional quality, or market potential often produced lower returns, highlighting that industrial policy is most effective when implementation capacity evolves alongside policy ambition.

Key Lessons for Nigeria

- Adopt a phased approach to industrialisation by piloting reforms in a limited number of strategically located industrial zones before nationwide expansion.
- Link government support to measurable performance indicators, such as investment, employment, exports, productivity, and technology adoption.
- Target industries selectively and temporarily, supporting sectors with strong potential while gradually withdrawing assistance as firms become internationally competitive.
- Strengthen subnational implementation capacity by encouraging healthy competition among states to attract investment and improve service delivery.

Box 2: How South Korea Transformed

South Korea's industrialisation demonstrates how disciplined state coordination, export orientation, and performance-based industrial policy can transform a low-income economy into a global manufacturing powerhouse. Beginning in the 1960s, the government used successive Five-Year Economic Development Plans, coordinated by the Economic Planning Board (EPB), to align industrial priorities with fiscal policy, directed credit, infrastructure investment, and trade policy. Industrial support was deliberately sequenced, with initial emphasis on labour-intensive industries such as textiles and garments before expanding into heavy and chemical industries—including steel, shipbuilding, petrochemicals, machinery, automobiles, and electronics—in the 1970s.

A defining feature of South Korea's strategy was its use of performance-based incentives. Firms received subsidised credit, tax incentives, import privileges, and infrastructure support, but continued access depended on meeting clearly defined targets for exports, productivity, output growth, and technological upgrading. This approach encouraged firms to compete internationally while discouraging long-term dependence on government support. Combined with investments in education, technology, and infrastructure, and exchange-rate policies that reinforced export competitiveness, South Korea rapidly built globally competitive manufacturing industries and sustained high economic growth.

Furthermore, South Korea's experience demonstrates that industrial policy is most effective when government support is selective, conditional, and performance-driven. By linking incentives to measurable outcomes and progressively upgrading industrial capabilities, the country achieved rapid productivity growth, export diversification, productive employment, and substantial reductions in poverty. While this strategy also contributed to the concentration of economic power among large conglomerates (chaebols) and rising corporate debt, these outcomes reflected deliberate policy choices rather than inevitable features of industrialisation.

Key Lessons for Nigeria

- Strengthen policy coordination through a central institution that aligns industrial priorities with fiscal, financial, trade, and infrastructure policies.
- Tie government support to measurable performance, including export growth, productivity, employment creation, capacity utilisation, domestic value addition, and technology adoption.
- Sequence industrial upgrading, allowing labour-intensive industries to build productive capabilities before transitioning to capital and technology-intensive sectors.
- Use directed finance strategically, ensuring concessional credit supports firms with strong growth potential rather than becoming a permanent subsidy mechanism.
- Promote a globally competitive manufacturing sector through investments in skills, infrastructure, and technology, as well as a stable macroeconomic environment.

Policy Imperatives to Operationalise the Nigeria Industrial Policy 2025 for Inclusive Development

The launch of the Nigeria Industrial Policy (NIP) 2025 marks a significant milestone in the country's pursuit of economic transformation and inclusive development. The policy is anchored on four priority sectors: Metals & Solid Minerals, Oil & Gas, Construction, and Manufacturing. These sectors have been prioritised for their potential to generate large-scale employment, deepen local value addition, and expand the country's export base. Notably, the NIP aims to increase manufacturing's contribution to GDP to 15 percent by 2030 and 25 percent by 2035, while raising mining's contribution to 8 percent and 10 percent over the same periods. Beyond sectoral diversification, the policy articulates six additional strategic thrusts (FMITI, 2025).

Strategic Thrust	Description
Infrastructure and Industrial Ecosystem Strengthening	This strategy seeks to strengthen industrial competitiveness by addressing infrastructure bottlenecks through investments in reliable electricity, transport networks, logistics systems, industrial parks, industrial clusters, and common-user facilities. These interventions are expected to reduce production costs, improve capacity utilisation, enhance productivity, and foster a more conducive environment for manufacturing and industrial investment.
Promotion of Made-in-Nigeria Products and Backward Integration	The NIP reinforces the Nigeria First Policy, which aims to promote greater patronage of Made-in-Nigeria products through public procurement reforms, stronger enforcement of local content policies, and support for domestic value chain development. It also seeks to deepen backward integration by increasing the local sourcing of raw materials and reducing import dependence, which stood at 42.9 percent in 2024 (FMITI, 2025).
Trade-driven Industrial Development	Leveraging existing trade agreements, such as the African Continental Free Trade Area (AfCFTA), this strategic thrust aims to expand Nigerian industrial exports and strengthen the country's integration into regional and global value chains.
Technological Innovation and Skills Development	This NIP seeks to strengthen national capabilities in technology adoption, promote investment in research and development (R&D), and enhance human capital through the revitalisation of technical and vocational education and training (TVET) programmes. Key interventions include reconstituting the National Skills Council, establishing PPP-backed training hubs in SEZs, and mobilising a Skills and Innovation Fund. The Fund will provide concessional loans, grants, tax credits, and matching incentives to Micro, Small and Medium-sized Enterprises (MSMEs) and companies investing in technical training and innovation (FMITI, 2025).
Green and Inclusive Industrialisation	This strategy aims to promote sustainable and climate-resilient industrial practices while ensuring the inclusion of women, youth, and MSMEs in the industrial ecosystem.
Industrial Financing and Investment Facilitation	The NIP seeks to expand access to affordable, long-term industrial finance and attract domestic and foreign investment into targeted industrial subsectors.

Compared with successful industrialisers such as China and South Korea, the NIP incorporates many of the core elements of a modern industrial policy, including investments in industrial infrastructure, export promotion, innovation, skills development, green manufacturing, and strategic sector prioritisation. However, a major challenge will be translating the policy's design into effective implementation, institutional coordination, and continuity across political and administrative cycles.

Fragmented institutional responsibilities, inconsistent policy execution, inadequate financing, weak monitoring and accountability mechanisms, and frequent discontinuity often undermined Nigeria's previous industrial policies and sector-specific initiatives. Meanwhile, the global resurgence of industrial policy—as countries intensify efforts to strengthen manufacturing capabilities, secure strategic supply chains, and attract productive investment—highlights the urgency for Nigeria to shift from policy formulation to disciplined execution. To translate the NIP into sustained industrial transformation and broad-based social inclusion, four implementation priorities are proposed.

1. Strengthen Institutional Coordination and Policy Delivery

Successful implementation requires clear institutional leadership, well-defined responsibilities, and effective inter-agency coordination. A high-level Industrial Policy Delivery Council, chaired at the highest level of government and comprising key economic ministries, implementing agencies, state governments, and organised private sector representatives, should oversee implementation of the NIP 2025. The Council should meet quarterly to review implementation progress, resolve policy bottlenecks, and ensure alignment between industrial, fiscal, trade, infrastructure, education, and investment policies. Implementation responsibilities should also be translated into annual action plans with clearly defined deliverables, timelines, and institutional capacity requirements, to enhance transparency and investor confidence.

2. Mobilise Long-Term Finance for Industrial Expansion

Expanding access to affordable long-term finance remains essential for accelerating industrial development. While the NIP recognises industrial finance as a strategic priority, implementation should focus on mobilising diverse sources of patient capital rather than relying predominantly on public resources. This includes strengthening development finance institutions, leveraging blended finance with development partners, expanding credit enhancement mechanisms, and encouraging private sector participation in industrial investment. Target financing towards manufacturing firms and MSMEs with strong potential to scale production and integrate into regional and global value chains. Make concessional support conditional on measurable performance, with clear eligibility criteria and periodic reviews tied to investment, employment, productivity and export outcomes.



3. Ensure Industrial Growth Delivers Competitiveness and Decent Employment

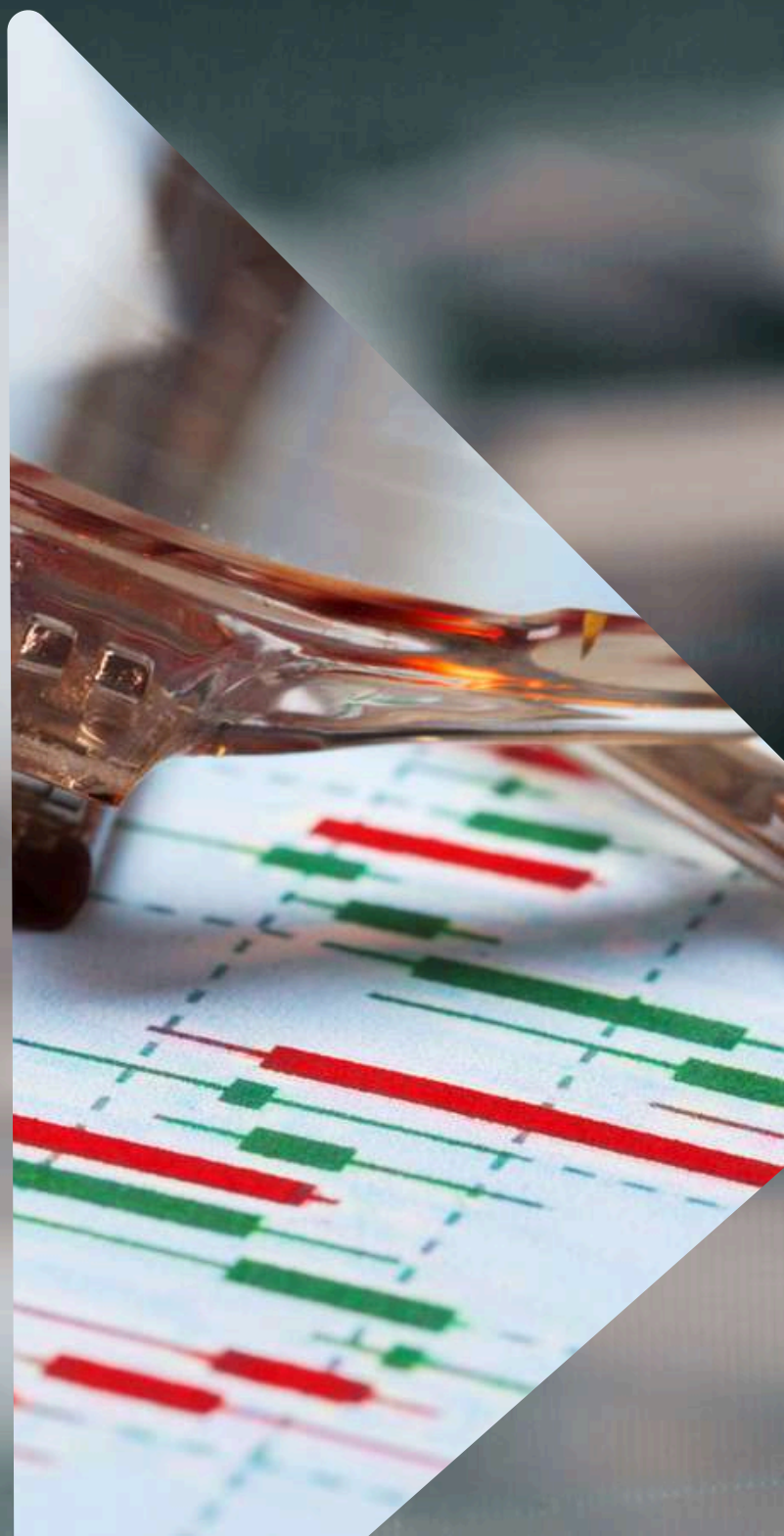
Industrial expansion should be measured not simply by the number of factories established, but by its contribution to productivity, competitiveness, employment, and social inclusion. Implementation should therefore prioritise investments that deepen domestic value addition, strengthen industrial clusters, improve manufacturing competitiveness, and create quality employment opportunities, particularly for women and young people. Complementary investments in reliable electricity, transport and logistics infrastructure, digital connectivity, technical and vocational education, and enterprise capability development will be critical to reducing production costs and enhancing productivity. Stronger linkages between large firms, MSMEs, and local suppliers should also be promoted to deepen domestic value chains and maximise employment multipliers.

4. Institutionalise Performance Monitoring Through a National Industrial Scorecard

A defining characteristic of successful industrialising economies is the rigorous monitoring of policy implementation against measurable outcomes. To avoid the implementation gaps that undermined previous industrial strategies, the NIP should be accompanied by a transparent National Industrial Scorecard built around a limited set of high-impact indicators. Quarterly reporting on manufacturing value added, labour productivity, export performance, industrial employment, capacity utilisation, investment inflows, technology adoption, and domestic value addition would strengthen accountability, improve policy coordination, and enable timely policy adjustments. Embedding performance-based monitoring within the implementation framework would also reinforce institutional learning and ensure that government support remains closely aligned with national industrial objectives.

Part C:

Macroeconomic Projections for H2-2026 and Risks to Outlook



Introduction

This section of the report assesses the outlook for the Nigerian economy in the second half of 2026. Global developments are expected to remain a key determinant of domestic economic performance, particularly the uncertain trajectory of conflicts in the Middle East and its implications for global energy markets, inflation, and financial conditions. Although the International Monetary Fund (IMF) projects the global economy to remain resilient, it notes that the recent disinflationary trend has stalled and downside risks remain elevated, especially if geopolitical tensions intensify or energy supply disruptions persist (IMF, 2026).

For Nigeria, these developments present both opportunities and risks. As a net oil exporter, the country is expected to benefit from elevated crude oil prices, which are projected to average US\$70-80 per barrel during H2-2026 under the baseline scenario, with the possibility of exceeding US\$100 per barrel should geopolitical tensions in the Gulf region escalate further. These oil price projections remain well above the 2026 budget benchmark of US\$64.85 per barrel, providing upside potential for oil export earnings and government revenues.

Domestically, continued improvements in oil sector fundamentals—including reduced crude oil theft, enhanced pipeline security, and renewed upstream investment following the resumption of oil block licensing—are expected to support crude oil production (including condensate) above 1.7 million barrels per day (mbpd) in H2-2026. While this would remain below the budget assumption of 1.84 mbpd, it would represent continued progress in restoring oil production capacity. Coupled with elevated crude oil prices, improved oil production conditions could provide additional fiscal space to support the implementation of the 2026 budget.

Moreover, sustained macroeconomic reforms, improved foreign exchange liquidity, and strong performance of the domestic capital market are expected to strengthen investor confidence and encourage investment inflows into priority sectors. Taken together, these global and domestic assumptions underpin our projections for Nigeria's economic growth, inflation, exchange rate, and external reserves in the second half of 2026.

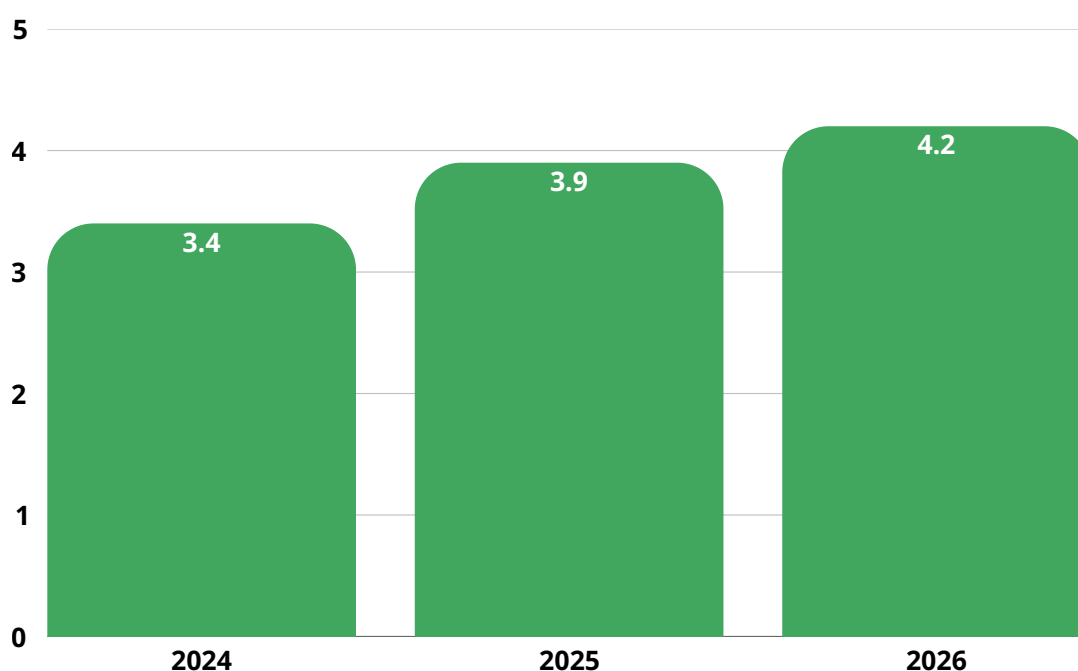
Macroeconomic Outlook for H2-2026

(A) GDP Growth

Economic growth is projected to strengthen to 4.5 percent in the second half of 2026, bringing full-year GDP growth to approximately 4.2 percent (Fig. 24). The outlook is underpinned by improved performance across Oil, Manufacturing, Agricultural and Services sectors, although structural challenges are expected to constrain the pace of expansion. The Oil sector is expected to sustain growth, supported by improved domestic crude oil production, reflecting improved security conditions and gradual implementation of upstream reforms.

Increased domestic refining activity is also expected to strengthen industrial output, reduce dependence on imported refined petroleum products, and improve the economy's external position. Moreover, manufacturing activity is expected to sustain growth momentum as lower inflation, continued exchange rate stability, and improved foreign exchange liquidity ease production constraints and strengthen business confidence. Nevertheless, the sector's growth prospects are likely to remain constrained by persistent structural bottlenecks, including unreliable electricity supply, high borrowing costs, elevated logistics costs, and weak domestic demand.

Fig. 24: GDP Growth Projection in 2026 (Percent)



Data: NBS; Forecast & Chart: NESG Research

Moreover, in the Agricultural sector, improved rainfall and favourable harvest conditions are expected to support crop production and moderate food supply pressures. However, persistent insecurity in key food-producing regions and climate-related shocks, particularly flooding, could undermine the expected output gains. In addition, the Services sector is expected to remain the primary driver of economic growth. Its performance will be driven largely by the financial services subsector, benefitting from the recent bank recapitalisation, stronger credit intermediation, and improved investor confidence, while ICT is expected to sustain robust growth, facilitated by rising digital adoption, increased data consumption, and continued investment in telecommunications infrastructure.

Risks to Growth Outlook in H2-2026

Risk Nature	Risk Factor	Implication
Downside Risks	Global economic and geopolitical shocks	A sharper-than-expected slowdown in global growth, renewed trade tensions, tighter global financial conditions, or an abrupt easing of geopolitical tensions that leads to lower crude oil prices could weaken Nigeria's export earnings, reduce foreign exchange inflows, constrain fiscal revenues, and increase exchange rate pressures. Conversely, a further escalation of geopolitical conflicts could prolong global inflationary pressures and tighten external financing conditions.
	Election-related uncertainty	As political activities intensify ahead of the 2027 General Elections, reform momentum could weaken while fiscal discipline comes under pressure from increased pre-election spending. This could undermine macroeconomic stability, delay structural reforms, and reduce investor confidence.
	Security challenges	Persistent insecurity, particularly in the North Central and North West, could continue to disrupt agricultural production, mining activities, and the movement of goods and services, while discouraging both domestic and foreign investment and weakening non-oil sector growth.
	Climate-related shocks	Flooding, extreme weather events, and other climate-related disruptions could adversely affect agricultural production, food supply chains, and infrastructure, thereby increasing food inflation and constraining economic growth.
Upside Risks	Stronger-than-expected Oil sector recovery	Higher-than-projected crude oil production, supported by sustained improvements in pipeline security, reduced oil theft, and increased upstream investment, together with stronger global oil prices, could raise export earnings, strengthen fiscal revenues, improve external reserves, and accelerate economic growth beyond current projections.

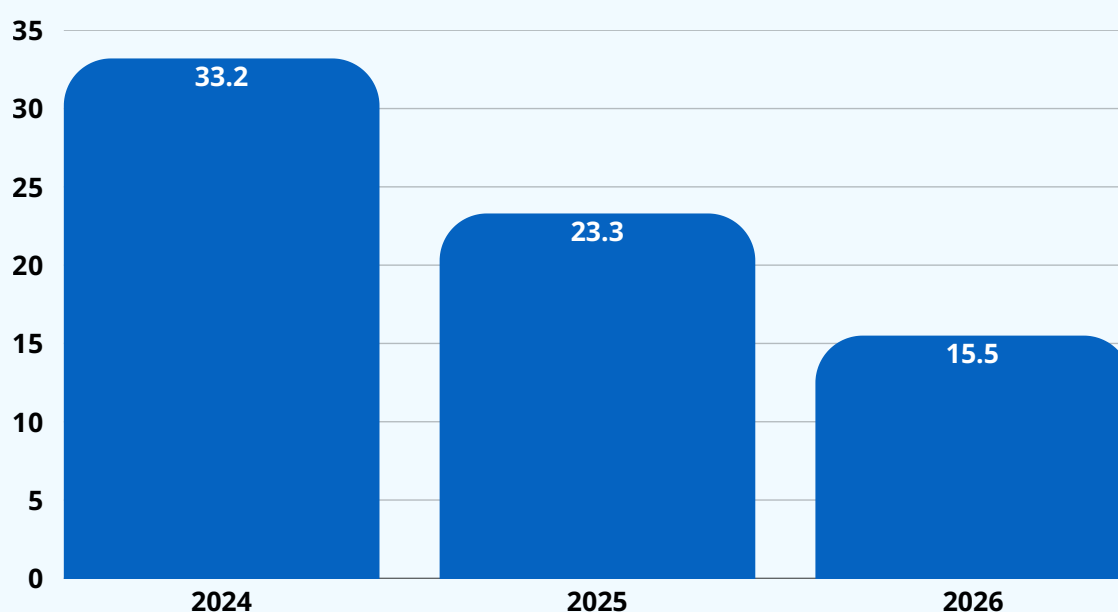
Risk Nature	Risk Factor	Implication
Upside Risks	Higher foreign capital inflows	Continued macroeconomic reforms, stronger policy credibility, improved foreign exchange market liquidity, favourable sovereign credit rating actions, and greater exchange rate stability could further strengthen investor confidence and attract larger portfolio and foreign direct investment inflows. This would enhance external financing, improve foreign exchange liquidity, and stimulate private investment.
	Stronger implementation of structural reforms	Faster implementation of tax, power sector, infrastructure, and business environment reforms could improve productivity, lower the cost of doing business, crowd in private investment, and accelerate manufacturing-led industrialisation and non-oil sector growth.



(B) Inflation

Inflation is expected to remain elevated during the remainder of 2026, averaging 15.5 percent in H2-2026 and for the entire year (Fig. 25). This projection is premised on persistent challenges including widespread insecurity in major farming communities, climate-related disruptions—particularly flooding—and high transportation costs arising from logistics challenges. In addition, election-related spending, seasonal demand associated with the festive period, and relatively high energy costs could generate temporary cost-push inflationary pressures during H2-2026. However, these pressures could be partly offset by continued exchange rate stability, the lagged effects of tight monetary policy, and favourable base effects.

Fig. 25: Nigeria's Inflation Projection in 2026 (Percent)



Data: NBS; Forecast & Chart: NESG Research

(C) Exchange Rate and External Reserves

The external sector is expected to remain resilient during H2-2026, with the naira broadly stable and the external reserves projected to increase to about US\$53 billion by year-end. Higher crude oil production, favourable oil prices, stronger non-oil exports, and sustained current account surpluses are expected to improve foreign exchange earnings and support reserve accumulation. At the same time, improved investor confidence, higher foreign portfolio inflows, stronger diaspora remittances through formal channels, and continued foreign exchange (FX) market reforms are expected to strengthen FX liquidity and reinforce exchange rate stability. Continued monetary policy discipline, together with a narrower parallel market premium, should reduce speculative demand, improve market efficiency, and support a more transparent and resilient foreign exchange market. Collectively, these developments are expected to strengthen Nigeria's external position and reinforce macroeconomic stability in the rest of the year.

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The NESG is an independent, non-partisan, non-sectarian organisation committed to fostering open and continuous dialogue on Nigeria's economic development. The NESG strives to forge a mutual understanding between leaders of thought to explore, discover and support initiatives to improve Nigeria's economic policies, institutions and management.

Our views and positions on issues are disseminated through electronic and print media, seminars, public lectures, policy dialogues, workshops, specific high-level interactive public-private sessions and special presentations to the executive and legislative arms of government.

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